

exists where there is only promise or, conversely, that an attractive statistical showing is alone sufficient to warrant purchase.

Having thus considered the three alternative policies open to those with capital funds, we see that fixed-value investment in the traditional field of high-grade bonds and preferred stocks remains a necessary and desirable activity for many individuals and corporate bodies. It is quite clear also that periodic reexamination of investment holdings is necessary to reduce the risk of loss. What principles and practical methods can be followed in such supervision?

Principles and Problems of Systematic Supervision; Switching. It is generally understood that the investor should examine his holdings at intervals to see whether or not all of them may still be regarded as entirely safe and that if the soundness of any issue has become questionable, he should exchange it for a better one. In making such a "switch" the investor must be prepared to accept a moderate loss on the holding he sells out, which loss he must charge against his aggregate investment income.

In the early years of systematic investment supervision, this policy worked out extremely well. Seasoned securities of the high-grade type tended to cling rather tenaciously to their established price levels and frequently failed to reflect a progressive deterioration of their intrinsic position until some time after this impairment was discoverable by analysis. It was possible, therefore, for the alert investor to sell out such holdings to some heedless and unsuspecting victim, who was attracted by the reputation of the issue and the slight discount at which it was obtainable in comparison with other issues of its class. The impersonal character of the securities market relieves this procedure of any ethical stigma, and it is considered merely as establishing a proper premium for shrewdness and a deserved penalty for lack of care.

Increased Sensitivity of Security Prices. In more recent years, however, investment issues have lost what may have been called their "price inertia," and their quotations have come to reflect promptly any materially adverse development. This fact creates a serious difficulty in the way of effective switching to maintain investment quality. By the time that any real impairment of security is manifest, the issue may have fallen in price not only to a speculative level but to a level even lower than the decline